

AS-4 Events After Balance Sheet Date Simple Answers (CA Inter)

Q1. Santhanam Ltd. - Acquisition ₹560 lakhs in April 2009

Negotiations started during year. Year ended 31.3.2009.

As per AS 4, events after balance sheet date are classified as adjusting or non-adjusting.

Acquisition completed in April 2009 i.e. after year-end. Condition did not exist on 31.3.2009.

Non-adjusting event. No adjustment. Disclose in Board's Report.

Q2. Debtor ₹2 lakhs - Earthquake Feb 2009, Bankrupt April 2009

As per AS 4, adjust when event gives evidence of condition existing at balance sheet date.

Earthquake in February 2009 (before year-end). Bankruptcy only confirms loss.

Adjusting event. Provide full ₹2 lakhs in accounts for 31.3.2009.

Q3. Same as Q2 (Year 2003)

As per AS 4, adjust for events giving evidence of existing conditions.

Loss in Feb 2003, bankruptcy in April 2003. Weakness existed on 31.3.2003.

Adjusting event. Full provision in accounts for 31.3.2003.

Q4. Earthquake after year-end - Building destroyed

As per AS 4, non-adjusting events need disclosure. Check going concern.

Earthquake after year-end. Damage did not exist on balance sheet date.

Non-adjusting event. No adjustment. Disclose in Board's Report. Check going concern.

Q5. VRS - 200 employees opted by 31.3.2000, no provision

As per AS 4, adjust for events relating to conditions existing at balance sheet date.

Employees opted before year-end. Liability existed on 31.3.2000.

Adjusting event. Make provision for VRS liability.

Q6. Proposed dividend 10% - Board says no disclosure needed

As per AS 4, proposed dividend is not a liability but must be disclosed in notes.

Dividend recommended after 31.3.2001. No liability on that date.

Do not agree with Board. Non-adjusting. Disclose in Notes to Accounts only.

Q7. Debtor ₹10 lakhs - 20% provision, bankrupt April 2005

As per AS 4, adjust when event affects amounts relating to existing conditions.

Debtor in difficulty before year-end. Bankruptcy confirms full loss.

Adjusting event. Provide full ₹10 lakhs for 31.3.2005.

Q8. Extra cost ₹80 lakhs found on 1.9.1998 (after approval 20.8.1998)

AS 4 covers events only till date of approval of accounts.

Cost known after approval of accounts.

Not covered by AS 4. No adjustment. May disclose in Directors' Report.

Q9. R Ltd. - ₹100 lakhs acquisition in April 1998

As per AS 4, acquisition after year-end is non-adjusting if condition did not exist on BS date.

Investment in April 1998 after 31.3.1998.

Non-adjusting event. Disclose in Board's Report.

Q10. Cash theft ₹5 lakhs - Jan 20X1, detected May 20X1

As per AS 4, fraud in accounting period detected before approval must be adjusted.

Theft during year, detected before approval.

Adjusting event. Adjust ₹5 lakhs in accounts for 31.3.20X1.

Q11. Earthquake 20.5.20X2 - Warehouse loss ₹30 lakhs

As per AS 4, no adjustment if condition did not exist on balance sheet date.

Earthquake after 31.3.20X2.

Non-adjusting event. Disclose in Board's Report. No loss in accounts.

Q12. Legal suit ₹15 lakhs - Recovery not good (April 20X1)

As per AS 4, adjust when legal opinion confirms non-recovery of existing debt.

Debt existed on 31.3.20X1. Legal opinion confirms poor recovery.

Adjusting event. Full provision ₹15 lakhs for 31.3.20X1.

Q13. R Ltd. - ₹100 lakhs acquisition April 20X1

As per AS 4, no adjustment if event does not relate to condition on BS date.

Acquisition after 31.3.20X1.

Non-adjusting event. Disclose in Board's Report.

Q14. Extra cost ₹80 lakhs on 1.9.20X1 (after approval 20.8.20X1)

AS 4 applies only till approval date.

Known after approval.

Not covered by AS 4. No adjustment.

Q15. Debtor ₹2 lakhs - Earthquake Feb 20X1, Bankrupt April 20X1

As per AS 4, adjust when post BS event confirms existing condition.

Earthquake before year-end. Bankruptcy confirms loss.

Adjusting event. Full provision ₹2 lakhs for 31.3.20X1.

Q16. Raj Ltd. - Provision ₹10 lakhs, Court ordered ₹14 lakhs on 18.5.20X2

As per AS 4, court decision before approval is adjusting if suit existed at year-end.

Suit existed during year. Court decision before approval on 30.5.20X2.

Adjusting event. Increase provision by ₹4 lakhs (total ₹14 lakhs).

Q17. Alpha Ltd.

(i) Suit filed 20.4.20X2 ₹25 lakhs → Non-adjusting. Disclose if material.

(ii) Acquisition terms March, paid April ₹50 lakhs → Adjusting. Reflect in accounts.

(iii) Theft 31.3.20X2, detected 16.7.20X2 (after approval) → Not AS 4. Next year.

Q18. Surya Ltd.

(i) Suit 5.4.2021 ₹5 lakhs → Non-adjusting. Disclose.

(ii) Property deed 15.4.2021 → Non-adjusting. Disclose.

(iii) Acquisition terms March, paid April ₹50 lakhs → Adjusting.

(iv) Theft March, detected after approval → Not AS 4. Next year.

Q19. Building sold ₹50 lakhs (BV ₹30 lakhs), possession given, legal pending

Substance over form - sale complete if possession given.

Possession given, sale substance complete. Shown as advance - wrong.

Do not agree. Recognize sale. Profit ₹20 lakhs.

Q20. CA Inter Dec 2021

- (i) **Dividend 7% on 15.5.2021** → Non-adjusting. Disclose in Notes.
- (ii) **Fraud ₹53,000 on 5.3.2021, detected 22.6.2021** → Adjusting. Adjust in accounts.
- (iii) **Fire 23.5.2021 loss ₹81 lakhs** → Non-adjusting. Disclose in Board's Report.

Q21. MN Ltd. CA Inter Nov 2022

- (i) **Fire 7.4.2022 ₹15 crores (insured)** → Non-adjusting. Disclose. Check going concern.
- (ii) **Patent claim ₹12 crores (baseless)** → No provision. Disclose contingent liability (AS 29).
- (iii) **Contract 15.3.2022, sale 15.5.2022** → Adjusting. Profit ₹2,25,000.

Quick Memory

Adjusting = Condition existed on BS date → Change accounts

Non-adjusting = Condition did NOT exist → Disclose in Board's Report

After approval = Not AS 4 → Next year

Dividend = Not liability → Notes only

Fraud in year, found before approval = Adjusting